

PARTNERSHIP ACCOUNTS

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Amalgamation and Dissolution of Partnership

Amalgamation

An amalgamation is where two or more Partnerships combine together to form a new Partnership or where a sole trader and a partnership combine together.

There are strong similarities to the changes already covered with revaluations made in the old books and the reversals made in the new books.

Immediately after the amalgamation, a new Statement of Financial position will be constructed. The ~~new~~ main issue in amalgamation is the ~~adding~~ merging of the statement of financial position of the two businesses that are amalgamating.

Illustration

A and B are partners sharing profits or losses equally.

C and D are partners in another firm. They also share profits equally.

The two firms are to amalgamate with A, B, C and D sharing profits or losses in the ratio of 3:3:2 and 2.

The statements of financial position of each business immediately prior to the amalgamation and before any of the necessary amalgamation adjustments were as follows:

	AB & Co	CD & Co
Non-current Assets	200,000	175,000
Current Assets	<u>100,000</u>	<u>80,000</u>
	<u>300,000</u>	<u>255,000</u>
Capital		
A	120,000	
B	120,000	
C		100,000
D		100,000
Liabilities	<u>60,000</u>	<u>55,000</u>
	<u>300,000</u>	<u>255,000</u>

The goodwill of AB & Co. was agreed to be £100,000. AB & Co had non-current assets which were to be revalued by £50,000.

(3)

The goodwill of CD & Co. was agreed at \$80,000.
CD & Co. also had non-current assets which were
to be revalued by \$50,000.

Required:

Amalgamate the two ~~bus~~ partnerships and
Prepare a Statement of financial position
as at the date of the amalgamation.